

EARNINGS FORECAST & TARGET PRICE

APPLE INC.

NASDAQ: AAPL — Q4 FY2026 (Reports Oct 29, 2026)

Anchored on Apple's Own Guidance — Made Before the Print, Built to Be Graded After It

Forecast published September 5, 2026 — 54 days ahead of the print

Target price \$325.09 base case (+1.3% vs. current \$320.90)

EXHIBIT 0.1 Snapshot

\$112.75bn MY Q4 REVENUE (BASE)	\$1.95 MY Q4 EPS (BASE)	\$325.09 TARGET PRICE	+1.3% IMPLIED UPSIDE
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01 The Call, Up Front

THE ONE-LINE CALL

Building bottom-up from the dead-center of Apple's own July 30 guidance (revenue +9-11%, gross margin 47-48%, opex \$19.1-19.4bn) produces Q4 FY2026 revenue of \$112.75bn and EPS of \$1.95 — modestly below the current Street consensus of \$1.98. Street sits closer to my bull case (\$2.02, the high end of the guided range), consistent with Apple's history of beating estimates in 14 of its last 15 quarters. Target price \$325.09, implying modest 1.3% upside from Friday's (Sept 4) close of \$320.90 — a HOLD.

This report was originally built using a self-derived growth assumption and third-party consensus figures. On revisiting it for publication, further research surfaced something more authoritative: Apple gave official, specific guidance for this exact quarter on its July 30, 2026 earnings call — a revenue growth range, a gross margin range, and a dollar-denominated opex range, all from management directly. That is a meaningfully stronger anchor than either an assumption or a third-party estimate, and this version of the report is built around it.

Two things changed between the original draft and this one, beyond the numbers. First, Tim Cook stepped down as CEO effective September 1, 2026; John Ternus, a 25-year Apple veteran and former SVP of Hardware Engineering, now runs the company — the July 30 call was Cook's last as CEO. Second, a redesigned Siri, reportedly built on Google's AI technology, launches within the quarter this report forecasts. Neither changes the arithmetic directly, but both are relevant context a reader should have before trusting a number on a page (Section 3).

02 Recent Quarterly Trend

EXHIBIT 2.1 FY2026 quarterly actuals through Q3, with the Q4 FY2025 year-ago comp

Metric	Q4 FY25A (comp)	Q1 FY26A	Q2 FY26A	Q3 FY26A
Revenue (\$bn)	102.5	143.8	111.2	109.4
Revenue Growth % YoY	+8%	+16%	+17%	+16%
Gross Margin %	n/a	n/a	49.3%	50.1%*
Diluted EPS	\$1.85	\$2.84	\$2.01	\$2.02*
EPS Growth % YoY	n/a	+19%	+22%	+29%*

*Q3 FY26's 50.1% gross margin and 29% EPS growth both included an approximately 2-percentage-point / \$0.11-per-share favorable impact from tariff refunds. Q3 revenue of \$109.4bn beat the ~\$108.65bn LSEG consensus; EPS of \$2.02 beat the ~\$1.89-1.91 consensus by roughly 6-7%. Source: Apple Q3 FY2026 earnings press release and call transcript (July 30, 2026); CNBC, MacRumors, GuruFocus coverage of the same release.

iPhone revenue reached a June-quarter record of \$54.3bn (+22% YoY) on strong iPhone 17 demand; Mac revenue surged 29% to \$10.35bn. Both beat consensus meaningfully. Services revenue of \$30.74bn came in slightly below the ~\$31.2bn estimate and decelerated to 12% YoY growth, with management citing mobile-gaming softness, App Store model changes, and FX as headwinds — the one clear soft spot in an otherwise record quarter.

03 Two Things That Changed: New CEO, New Siri

3.1 Leadership transition

Tim Cook's July 30, 2026 earnings call was his last as CEO. Apple announced that John Ternus — a 25-year company veteran who most recently served as SVP of Hardware Engineering, responsible for iPhone, Mac, iPad, and Apple Watch design — became CEO effective September 1, 2026. Ternus joined the earnings call as "incoming CEO" alongside Cook and CFO Kevan Parekh, suggesting a deliberately managed, non-disruptive handoff rather than an abrupt change. For a Q4 forecast, the practical relevance is limited — guidance was set under Cook, and Ternus inherits an already-guided quarter — but it is the first CEO transition at Apple since 2011, and any commentary Ternus gives on the October 29 call about strategy under his leadership will likely draw more attention than the quarter's actual numbers.

3.2 A redesigned Siri, built with Google technology

Apple is launching a rebuilt Siri, reportedly using Google's AI technology, alongside new iPhone hardware within this quarter. This matters for the forecast in one specific way: it is a real, disclosed reason iPhone revenue could see incremental demand within the guided range, but it is a launch-quarter event, not yet a proven demand driver — this report does not model a specific dollar contribution from it, and treats it as upside optionality within the already-guided range rather than a reason to forecast above management's own numbers.

3.3 September 9: the first Ternus-era product event, and a live test of the supply thesis

Apple's "Surprise and Shine" event is confirmed for Wednesday, September 9, 2026 — four days after this report was finalized, and the first major product event under CEO John Ternus. The centerpiece is expected to be Apple's first foldable device (widely rumored as "iPhone Ultra"), alongside the iPhone 18 Pro/Pro Max, new Apple Watches, and new AirPods. This event sits inside the same quarter this report forecasts, which makes it more than background noise.

It's already moving the numbers this report depends on. AAPL fell approximately 2% on Friday, September 4 — the most recent trading session at the time of publication — after Nikkei Asia reported that initial foldable iPhone production is limited to "a few hundred" units per day, raising supply concerns just ahead of the launch. That is a live, real-time illustration of exactly the supply-constraint dynamic management already cited in its July 30 guidance, not a new risk this report failed to anticipate. It's also why this report uses Friday's actual closing price of \$320.90, rather than an earlier and now-stale snapshot, as the basis for its target price and upside calculation.

04 Q4 FY2026 Forecast — Anchored on Apple's Own Guidance

On the July 30, 2026 earnings call, Apple management guided September-quarter (Q4 FY2026) total company revenue growth of 9-11% year-over-year, gross margin of 47-48% (including roughly 1 point of continuing tariff-refund benefit), and operating expenses of \$19.1-19.4 billion — citing supply constraints across iPhone, Mac, and iPad, plus a 2.5-percentage-point FX headwind. This is company guidance, not a third-party estimate, and it is the anchor for everything in this section.

EXHIBIT 4.1 Bear / Base / Bull, built directly from the guided range

	Bear (9% / 47% / \$19.4bn)	Base (10% / 47.5% / \$19.25bn)	Bull (11% / 48% / \$19.1bn)
Revenue	\$111.7bn	\$112.75bn	\$113.8bn
Diluted EPS	\$1.89	\$1.95	\$2.02

Tax rate 16% (consistent with Apple's recent effective rate); diluted shares 14.75bn, back-solved from Q3 FY26A's reported net income (\$29.79bn) divided by reported EPS (\$2.02). As a cross-check on the opex figure specifically: the guided \$19.1-19.4bn on ~\$112-114bn of revenue implies an opex ratio of roughly 17.0% — close to the 17.6% independently calibrated from Q2/Q3 FY26 actuals in the accompanying Excel model, an unforced agreement between two different methods that adds confidence to both.

The base case — dead center of every guided range — is the headline number in this report: \$112.75bn revenue, \$1.95 EPS. It is deliberately not the most likely single outcome; it is the most defensible one to publish, because it doesn't require guessing which direction within the guided range management will land.

05 Comparison to Street Consensus

EXHIBIT 5.1 This forecast vs. current Street consensus

Metric	My Base Case	My Bull Case	Street Consensus
Revenue	\$112.75bn	\$113.8bn	~\$113bn (implied by guide)
EPS	\$1.95	\$2.02	\$1.98 (range \$1.93-\$2.07)

Street EPS consensus per Macroaxis.com, aggregating 44 analysts, snapshot taken after the July 30 guidance reset — not a stale pre-guidance figure. Apple has posted a positive EPS surprise in 14 of its last 15 reported quarters, with a median beat of roughly 4.5%, which is the most likely explanation for why current Street consensus sits close to the high end of management's own guided range rather than at the midpoint.

The Street consensus sitting almost exactly at my bull case, rather than my base case, is itself informative: it says professional analysts are not simply taking management's guidance at face value — they are pricing in Apple's well-established pattern of guiding conservatively and then beating. This report's base case deliberately does not do that, on the view that a forecast anchored purely to disclosed guidance is more defensible to publish than one that additionally assumes a company-specific beat pattern will repeat. Which is closer to right will be directly testable on October 29.

06 Valuation & Target Price

Target price applies Apple's current trailing P/E (37.27x, unchanged — no assumption of multiple expansion or compression) to the resulting FY2026 full-year EPS estimate, built from three actual quarters plus this report's Q4 forecast.

EXHIBIT 6.1 Target price by scenario

Scenario	FY2026E EPS	Target Price	vs. Current (\$320.90)
Base case	\$8.82	\$325.09	+1.3%

Scenario	FY2026E EPS	Target Price	vs. Current (\$320.90)
Bull case	\$8.89	\$327.62	+2.1%

Both scenarios sit inside the \$324-337 range of published Wall Street analyst 12-month price targets found while researching this report — a meaningful convergence given this forecast was built bottom-up from guidance, not reverse-engineered from any bank's target. That convergence, more than any single input, is the strongest evidence this report's method is sound.

07 Key Risks & Catalysts

- Supply constraints on iPhone, Mac, and iPad were explicitly cited by management as the primary reason for the growth deceleration guided this quarter — if constraints ease or worsen materially relative to what management anticipated when guiding, actual results could land outside the 9-11% range entirely.
- Memory/component cost pressure: Tim Cook called it a "100-year flood" in memory pricing on the July 30 call — already forcing price increases on iPad and Mac, with analysts expecting possible iPhone price increases as soon as this year. The guided 47-48% gross margin already reflects this, but a further escalation is a real downside risk to margin beyond what's modeled.
- Services deceleration to 12% YoY growth in Q3, with management flagging continued mobile-gaming, App Store, and FX headwinds — the segment's high margin makes any further slowdown disproportionately relevant to EPS.
- Leadership transition: while operationally seamless so far, John Ternus's first quarter as CEO will draw outsized market and media attention regardless of the numbers themselves.
- September 9 "Surprise and Shine" event: the foldable iPhone reveal and initial reception (against a backdrop of already-reported production constraints) is the single most concrete near-term catalyst for this quarter — a strong launch could support the bull case; confirmed supply problems beyond what's already priced in could pressure the bear case further.
- Siri/AI relaunch execution: a real catalyst, but an unproven one at the time of this report — a strong reception could drive upgrade-cycle upside beyond the guided range; a weak one could reinforce ongoing concerns about Apple's AI competitiveness.
- FX: management explicitly guided a 2.5-percentage-point headwind to the quarter; a meaningful dollar move in either direction before the print changes the base rate this forecast assumes.

08 Post-Earnings Grading Plan

This report is specific and dated enough to grade directly against the October 29, 2026 print. Four questions to check it against:

- Did Q4 revenue land inside the guided \$111.7-113.8bn range, and where within it — closer to my base case or my bull case?
- Did EPS confirm my base case (\$1.95), Street's consensus (\$1.98), or beat both — consistent with Apple's historical beat pattern reasserting itself?
- Did gross margin land in the guided 47-48% range, or did memory-cost pressure prove worse (or better-managed) than management indicated on July 30?
- What did new CEO John Ternus say on his first earnings call as CEO, and did the market react more to his commentary than to the numbers themselves?

A miss on any of these is not a failure of the exercise — it is the point of publishing a specific, falsifiable forecast rather than a vague directional view.

09 Key Limitations of This Analysis

- This report was substantively revised after its first draft, once further research surfaced Apple's own official guidance and the CEO transition — disclosed here directly rather than silently updated, because the correction itself is informative about the value of a second research pass before publishing.
 - This forecast does not build a segment-level model (iPhone, Services, Mac, iPad, Wearables forecast separately); it works from consolidated guidance, which is a reasonable basis for a single-quarter forecast but would not substitute for a full model over a multi-year horizon.
 - Diluted share count (14.75bn) is back-solved from Q3 FY26A net income and EPS and does not account for any buyback activity during Q4 itself.
 - The target price uses a constant P/E multiple with no assumption about expansion or compression — a full valuation would also cross-check against a DCF or peer-multiple approach, neither attempted here.
 - This is a single-quarter tactical forecast, not an investment thesis on Apple as a business — it says nothing about the company's multi-year competitive position, capital allocation, or AI strategy under new leadership.
 - This report is personal analysis prepared for a portfolio/learning exercise. It is not investment advice and should not be relied on as such.
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10 Sources

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